

Research Highlights

- Proposes a continuous-state robust portfolio model, replacing rigid discrete regimes.
- Formulates the problem as a Semi-Infinite Program (SIP) using kernel-weighted returns.
- Develops an adaptive constraint generation algorithm for tractable, exact SIP solutions.
- Establishes a spatial dispersion diagnostic bounding the continuous optimality gap.
- Validates the framework via a comprehensive 31-year rolling out-of-sample backtest.